

NVIDIA Corporation (NVDA) - Investment Memo

DATE October 3, 2026	PRICE \$233.95 (close Oct 2)	MARKET CAP \$5.65T	RECOMMENDATION Hold	12-MONTH TARGET \$255 (+9%)
CONVICTION Medium				

1. Recommendation and thesis

NVIDIA is operating at extraordinary scale and profitability, and our base-case DCF (\$229) lands almost exactly on the current price. At 15x consensus forward EPS the stock is cheap if the AI build-out keeps compounding. But the balance sheet is taking on more supplier, customer-financing and guarantee exposure than it has in the past, so we rate it Hold with a modestly positive bias.

- Growth continues through FY28.** Q3 FY27 guidance is \$108B ±2% against \$96.2B in Q2 (8-K-EX-2026-08). Test: Q3 revenue at or above \$106B (the low end of the guide), and FY28 consensus revenue (\$683B) holding up. Per CNBC, Huang is guiding to roughly 70% FY28 growth.
- Margins hold near 74-75% gross.** Q3 is guided to 74.0% ±50bp, down from 75.0%, and analysts quoted by Kiplinger flag early memory cost inflation. Test: gross margin of at least 73.5% through the Vera Rubin ramp.
- Cash conversion is weakening and the balance sheet is becoming a financing tool.** Q2 free cash flow was only \$21.4B against \$59.7B of GAAP net income. Days sales outstanding rose to 60 from 45, supply commitments jumped to \$279B from \$119B, and maximum guarantee exposure totals \$108.5B (8-K-EX-2026-08-2). Test: DSO back below 50, and no guarantee draws.
- The market already prices much of the good news.** The stock is up 24.2% over 1 year against 16.2% for SPY, and sits near its \$237.88 52-week high. Consensus EPS has been revised up (section 7), so the stock needs more than beats-and-raises to re-rate (my view).

Two-year total return vs the S&P 500



Source: Yahoo Finance, dividend-adjusted.

2. Company overview

NVIDIA sells accelerated-computing platforms: GPUs, CPUs (Vera), networking (Spectrum), systems and software. These go to hyperscalers, AI clouds, AI model makers, enterprises and sovereigns, and to gamers and workstation users. It reports two segments, Compute & Networking and Graphics (company profile; 8-K-EX-2026-08-2).

Q2 FY27 (\$M)	Revenue	YoY	% of total
Data Center	89,023	+117%	92.5%
– Hyperscale	48,710	+102%	50.6%
– AI Clouds, Industrial & Enterprise	40,313	+138%	41.9%
Edge Computing	7,198	+27%	7.5%
Total	96,221	+106%	

Source: 8-K-EX-2026-08-2. By segment, Compute & Networking was \$88.3B and Graphics \$7.9B. Percentages of total are my arithmetic. A company was reclassified from ACIE to Hyperscale in Q2 and prior periods were recast.

- **Geography:** in Q2 and H1 FY26, about 50-51% of revenue was from customers outside the US (10-Q-2025-07). I did not pull a current geographic split. China data center compute is excluded from guidance, and Hopper shipments to China were under 1% of Data Center revenue in Q2.
- **Customers:** concentration is high (10-Q-2026-07 and 10-Q-2026-04).
- In Q2 FY27 one direct customer was 16% of revenue.
- In H1 FY27 three direct customers were 16%, 15% and 13%.

- In Q1 FY27 the three largest were 21%, 17% and 16%.

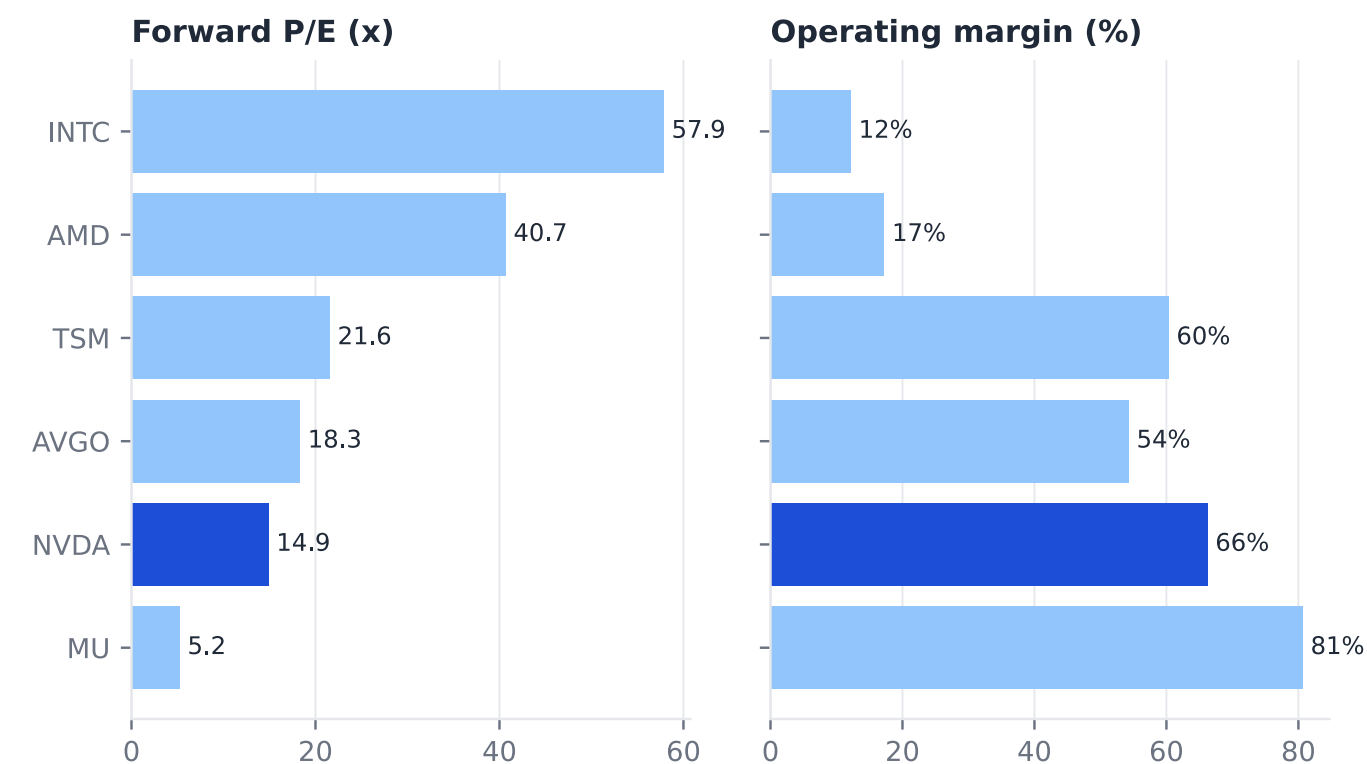
3. Industry and competitive position

NVIDIA leads in AI accelerators. In my view the moat is the CUDA software ecosystem, full-rack systems and networking, and a rapid product cadence (Blackwell Ultra now, Vera Rubin ramping). Pricing power shows in the 75% gross margin.

	Mkt cap	Fwd P/E	TTM P/E	EV/EBITDA	P/S	Rev growth	Op margin
NVDA	5.65T	14.9	29.6	27.9	18.6	105.9%	66.2%
AMD	1.03T	40.7	156.1	107.3	25.1	50.1%	17.2%
AVGO	1.70T	18.3	45.2	33.1	19.0	85.5%	54.3%
INTC	631B	57.9	n/a	37.9	11.1	25.4%	12.2%
TSM	2.45T	21.6	35.3	5.4	0.6	36.0%	60.3%
MU	1.21T	5.2	14.5	10.8	9.1	379.3%	80.7%

NVDA has the lowest forward P/E of the group apart from Micron (a memory maker). Its growth and margins are top-tier.

- **Where it wins:** full-stack systems, the software ecosystem, supply commitments, and financing partnerships (the \$500B+ third-party capital platforms with Apollo, BlackRock and others, subject to definitive agreements, per 8-K-EX-2026-08).
- **Where it is exposed:** China, where the company says it has effectively been foreclosed from data center compute (10-Q-2025-10). The 10-Q-2026-07 warns that export controls could also lead overseas governments to ask customers to buy from competitors.



Peers chosen by the agent. Source: Yahoo Finance.

4. Financial analysis

FY (Jan)	Revenue	Op margin	Net income	Diluted EPS*	FCF
FY17	\$6.9B	27.9%	\$1.67B	2.57	n/a
FY18	\$9.7B	33.1%	\$3.05B	4.82	n/a
FY19	\$11.7B	32.4%	\$4.14B	6.63	n/a
FY20	\$10.9B	26.1%	\$2.80B	1.13	n/a
FY21	\$16.7B	27.2%	\$4.33B	1.73	n/a
FY22	\$26.9B	37.3%	\$9.75B	3.85	\$8.1B
FY23	\$27.0B	15.6%	\$4.37B	0.17	\$3.8B
FY24	\$60.9B	54.1%	\$29.8B	1.19	\$27.0B
FY25	\$130.5B	62.4%	\$72.9B	2.94	\$60.9B
FY26	\$215.9B	60.4%	\$120.1B	4.90	\$96.7B

*EPS is as reported and not split-adjusted. Operating margin is my calculation from reported operating income and revenue.

- **Growth:** revenue grew 114% in FY25 and 65% in FY26 (my arithmetic). The latest quarter is up 106% year on year. TTM revenue is \$303B.
- **Quarterly trend** (gross margin and operating margin are my calculations):

Quarter	Revenue	Gross margin	Operating income
Q2 FY26	\$46.7B	72.4%	\$28.4B
Q3 FY26	\$57.0B	73.4%	\$36.0B
Q4 FY26	\$68.1B	75.0%	\$44.3B
Q1 FY27	\$81.6B	74.9%	\$53.5B
Q2 FY27	\$96.2B	75.0%	\$63.7B

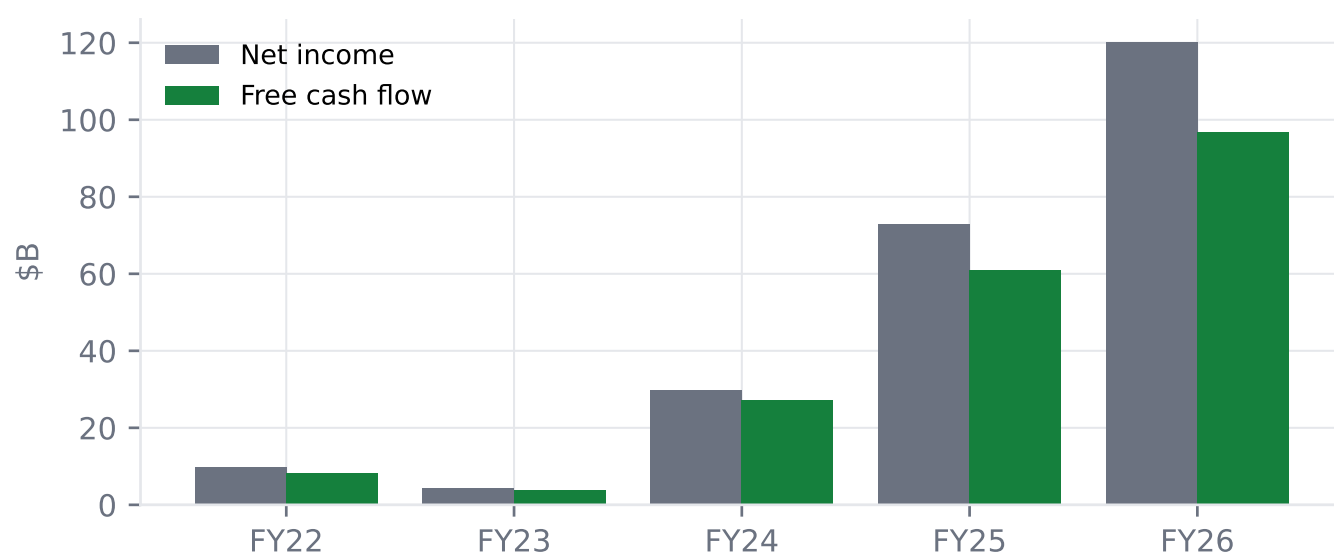
- **Latest quarter (Q2 FY27):** revenue was \$96.2B, up 18% from Q1. Opex was \$8.4B and operating margin 66%. Q2 had been guided to \$91B $\pm 2\%$, per Bitget. The Q3 guide of \$108B compares with the \$104.2B analysts expected, per CNBC.
- **Cash conversion:**
 - Free cash flow was \$21.4B in Q2 and \$48.6B in Q1. Operating cash flow was \$24.1B and \$50.3B.
 - Q4 FY26 free cash flow was \$34.9B and Q3 FY26 was \$22.1B. The four quarters sum to about \$127B (my arithmetic). The profile's TTM figure of \$41.8B does not reconcile with that, so I rely on the quarterly statements.
 - Receivables are \$63.1B and inventory \$31.6B. Management cites extended payment terms on multi-quarter deals with investment-grade customers (8-K-EX-2026-08-2).
- **Balance sheet:** cash and marketable debt securities were \$56.6B per the CFO commentary. The profile shows total cash of \$62.5B and total debt of \$38.9B (possibly a broader cash definition). The company issued \$25B of senior unsecured notes in Q2. Net cash is thin relative to the commitments below.
- **Quality-of-earnings flags:** 1. GAAP EPS (\$2.46) exceeds non-GAAP (\$2.22) because of \$7.8B of net equity-securities gains. My estimate of the effect is $7.8 \times (1 - 0.165) \approx \6.5B after tax, or about \$0.27 per share on 24.29B shares, leaving about \$2.19. 2. Q1 GAAP net income (\$58.3B) was also above non-GAAP (\$45.5B). 3. Non-GAAP now includes stock-based compensation (a change from Q1 FY27), which is conservative. SBC was about \$2.0B in Q2. 4. There were \$4.5B of H20 charges in Q1 FY26 and \$0.4B of H200 charges in H1 FY27 (10-Q-2026-07). 5. Commitments and guarantees are large (section 8).

Revenue and operating margin



Source: SEC XBRL (10-K as reported).

Cash conversion: free cash flow vs net income



Free cash flow = operating cash flow - capital expenditure. Source: SEC XBRL.

5. Management, governance and capital allocation

- **Leadership:** founder-CEO Jensen (Jen-Hsun) Huang and CFO Colette Kress. 42,000 employees (profile).
- **Pay (DEF14A-2026-06):**
 - Huang's FY26 summary-table total was \$36.3M, but "compensation actually paid" was \$162.2M.
 - 96% of his target pay depends on corporate performance. It consists of annual operating-income PSUs, 3-year relative-TSR PSUs, and variable cash tied to revenue.

- FY26 revenue exceeded the stretch goal (200% variable-cash payout), and operating income exceeded stretch (150% PSU payout).
- Incentives are tied to operating income, revenue and relative TSR, which is broadly aligned with shareholders. Both metrics were above stretch in FY26.
- **Insiders (12 months):** open-market sales of \$1.42B and zero purchases. Director Mark Stevens sold \$1.39B and CFO Kress \$7.6M. Many sales are likely 10b5-1 plans, but there is no insider buying signal.
- **Buybacks and dividends:**
 - Buybacks were \$40.1B in FY26. Q2 FY27 repurchases were about \$19.7B and dividends \$6.05B. Together these are the roughly \$26.0B returned in Q2.
 - \$99.0B remains authorized.
 - The quarterly dividend is now \$0.25 per share. Dividends paid were about \$0.24B per quarter before Q2 FY27.
 - Diluted shares were 24.51B for FY26 and 24.29B in Q2 FY27.
- **M&A and strategic investments:** equity-investment commitments are \$25B (10-Q-2026-07). Earlier filings mention a \$5B Intel investment and up to \$10B in Anthropic, subject to conditions (10-Q-2025-10). Investing in customers raises "circularity" concerns, a debate Kiplinger highlights.

6. Valuation

Normalized FCF base: \$150B (my estimate). The \$41.8B TTM free cash flow figure does not reconcile with the quarterly statements, and FY26's \$96.7B understates the current run-rate. Q1 plus Q2 FY27 free cash flow was \$70.0B, about \$140B annualized. The Q2 revenue run-rate of \$385B (96.2×4) at a 40% FCF margin gives about \$154B. The 40% is below FY26's 44.8% ($96.68 / 215.94$) to allow for higher working capital.

Net cash is \$23.6B (profile: \$62.5B cash less \$38.9B debt) and shares are 24.3B.

Scenario	Growth path	Discount rate	Terminal growth	Value/share	vs \$233.95
Bear	+30%, +10%, -10%, -20%, -5%, 0%, +2%, +2%	11%	2.0%	\$68.76	-70.6%
Base	+50%, +35%, +20%, +12%, +8%, +6%, +5%, +4%, +3%	10%	3.0%	\$228.91	-2.2%
Bull	+70%, +45%, +25%, +15%, +10%, +8%, +6%, +5%, +4%, +4%	9%	3.5%	\$390.02	+66.7%

The bear case assumes an AI capex digestion. FCF peaks at \$214.5B in year 2, then falls to \$146.7B, about the current normalized level, and grows 2% thereafter. In the base case terminal value is 59% of enterprise value.

Base-case sensitivity (\$/share):

Discount rate	TG 2.5%	TG 3.0%	TG 3.5%
9%	255	269	286
10%	219	229	240
11%	192	199	207

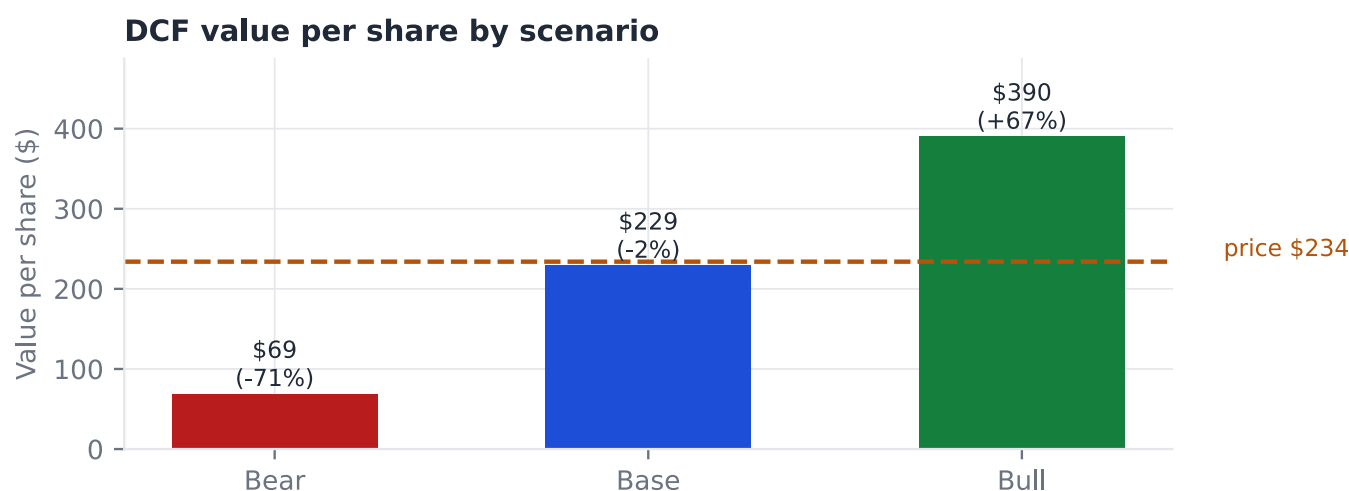
Peer cross-check:

- Forward P/E is 14.9 against 18.3 for AVGO, 21.6 for TSM and 40.7 for AMD.
- On FY28 consensus EPS of \$15.70, a 16x multiple gives \$251 ($16 \times 15.70 = 251.2$). The 16x is my assumption, a discount to AVGO's 18.3x.

What the market must assume: the price roughly equals our base case. That implies FCF compounding from \$150B to about \$441B by year 5 (2.9x), then fading. The 14.9x multiple on FY28 consensus EPS ($\$233.95 / \15.70) suggests the market does not capitalize that peak-cycle earnings power in full. This is my interpretation.

12-month target (\$255):

- Probability-weighted DCF: $25\% \times \$68.76 + 50\% \times \$228.91 + 25\% \times \$390.02 = \229 (my probabilities).
- Rolling the base value forward one year at a 10% cost of equity: $\$229 \times 1.10 \approx \252 .
- The 16x FY28 EPS cross-check gives \$251.
- Target \$255 (+9%: $255 / 233.95 = 1.09$). This is my estimate.



Values recomputed from the agent's DCF inputs.

Base-case DCF sensitivity (value per share)



Green = above the current price, red = below. Centre cell is the base case.

7. Variant perception

- **Consensus:** the mean 12-month price target is \$327.7 (median \$315, low \$180, high \$515), with 58 Buy or Strong Buy ratings against 2 Hold and 1 Sell.
- FY27 EPS is \$9.31 and revenue \$411.6B.
- FY28 EPS is \$15.70 and revenue \$683.3B (range \$416.4B–\$778.5B).
- The FY28 EPS estimate moved from \$12.71 ninety days ago to \$15.70. In the last 30 days there were 42 up revisions and none down.
- The Q3 consensus is \$2.47 EPS on \$109.0B revenue.
- **Where we differ:** we are less bullish on price. Consensus targets imply about 40% upside ($327.7 / 233.95$), while our probability-weighted value is about \$229. 1. The FY28 estimates are wide. The low end (\$416.4B) is only 1% above FY27 consensus, so some analysts see a roughly flat year. 2. Reported EPS is flattered by equity gains that are not repeatable. 3. Cash conversion matters more than EPS, and free cash flow fell sharply in Q2. 4. The financing structure (guarantees capped at \$105B for the SB Energy/OpenAI site, \$3.5B of other guarantees, AI cloud agreements, third-party capital platforms) is in effect vendor financing. Management says each generation at that site could be \$150–200B of NVIDIA revenue. If it works, revenue is large. If it doesn't, NVIDIA bears some of the risk.
- **Where we agree with consensus:** demand is strong and the guide is credible. The stock is not expensive on forward earnings.

8. Key risks and mitigants

1. **AI capex digestion and customer financing.** The company says many AI clouds and model makers are "growing faster than their balance sheets" can support (8-K-EX-2026-08-2). DSO rose to 60 days. Signal: DSO and AI-cloud credit quality.
2. **Large commitments and guarantees.** Supply commitments are \$279B, total commitments \$366B, additional commitments \$56B, and maximum guarantee exposure \$108.5B (10-Q-2026-07; 8-K-EX-2026-08-2). Mitigant: some purchase agreements are cancellable or adjustable, and guarantee exposure declines as OpenAI pays its lease payments. Signal: commitments growing faster than revenue.
3. **Customer concentration.** One to three direct customers each account for 13–21% of revenue (10-Q-2026-07; 10-Q-2026-04). The August 2026 SB Energy guarantees are tied to 20-year leases to OpenAI (8-K-EX-2026-08-2). Mitigant: the mix is broadening (ACIE up 138% year on year).
4. **Export controls and China.** The company has said it has effectively been foreclosed from China data center compute (10-Q-2025-10). Guidance assumes zero China data center revenue, so there is upside optionality. Further rules could limit sales elsewhere (10-Q-2026-07).
5. **Gross margin and memory costs.** The supply commitment increase is primarily for memory. Q3 gross margin is guided down to 74.0%. Signal: gross margin below 73%.
6. **Valuation and volatility.** Beta is 2.2, one-year volatility is 37.7% and the 1-year max drawdown was –20.2%. The stock trades at 29.6x trailing earnings.
7. **Governance and insider selling.** Sales were \$1.42B with no buying, mostly from one director. This is a minor signal.

9. Catalysts and timeline

- **Oct 1, 2026:** \$0.25 dividend payment date (8-K-EX-2026-08).
- **Late Nov 2026 (my estimate; date not confirmed):** Q3 FY27 earnings. The guide is \$108B $\pm 2\%$ at 74.0% gross margin, and consensus is \$109.0B and \$2.47 EPS.
- **Q3 FY27 onward:** Vera Rubin ramp. Per Investing.com, shipments began in August.
- **Ongoing:** export-license and China developments, definitive agreements on the \$500B third-party financing platforms, and OpenAI/SB Energy site milestones (first phase fiscal 2029).
- **Late Feb 2027 (my estimate, based on last year's Feb 25 report):** Q4 FY27 results.

10. What would change our mind

- **Turn bullish (target above \$330):** Q3 and Q4 revenue at or above the guide path, with gross margin of at least 74%; DSO back below 50; free cash flow back toward 40% of revenue; China data center revenue starting to flow.
- **Turn bearish (target below \$180):**

- Sequential revenue growth falling below 8%.
- Hyperscaler capex cuts or delayed AI cloud payments.
- Gross margin below 72%.
- Any draw on the guarantees.
- Commitments or inventory growing much faster than revenue.
- Write-downs on equity stakes in customers.

Appendix: Sources

Filings reviewed:

- 8-K-EX-2026-08, Q2 FY27 press release (filed 2026-08-26; first 12,000 characters)
- 8-K-EX-2026-08-2, Q2 FY27 CFO commentary (2026-08-26; first 12,000 characters)
- 10-Q-2026-07 (2026-08-26), 10-Q-2026-04 (2026-05-20), 10-Q-2025-10 (2025-11-19), 10-Q-2025-07 (2025-08-27): via targeted search passages
- DEF14A-2026-06 (2026-05-12): via targeted search passages

10-K-2026-01 and the other listed 8-Ks were not read.

Data tools: company profile, price performance, 10-year financial history, quarterly income and cash flow statements, analyst estimates, peer comparison, insider activity, DCF (three scenarios).

Web sources:

- Investing.com, "Earnings call transcript: NVIDIA beats Q2 2026 estimates as AI demand stays hot"
- Kiplinger, "Nvidia Earnings: Updates and Commentary August 2026"
- CNBC, "Nvidia earnings takeaways: Huang forecasts 70% fiscal 2028 revenue growth, far above estimates" (Aug 26, 2026)
- CNBC, "Nvidia reports blowout earnings. Here's why analysts are impressed" (Aug 27, 2026)
- Bitget Academy, "NVIDIA Earnings August 26: NVDA Stock Price Outlook and Forecast"

Fact-check notes

- FY23 operating margin corrected from 15.7% to 15.6% (4.22 / 26.97).
- The bear-case description said FCF falls back to "FY26-level"; the model's trough is \$146.7B, about the current normalized base. Corrected.
- Removed the unsupported claim that customers' custom silicon is a competitive exposure.
- Removed the claim that buybacks "offset SBC", which the numbers don't support (\$40.1B of FY26 buybacks against about \$2.0B of quarterly SBC). Now reports share counts only.
- Removed the unsupported catalyst about "first revenue shares from AI clouds" and the "early 2027 FY28 guidance" item. Replaced with a Q4 FY27 date labelled as an estimate.
- Re-attributed OpenAI exposure to the CFO commentary (8-K-EX-2026-08-2) instead of 10-Q-2026-07.

- Replaced the 10-K-2026-01 citation for segments, which I had not read, with the profile and CFO commentary. Removed 10-K-2026-01 from the "reviewed" list.
- Labelled the geographic mix as Q2/H1 FY26 data, since I did not pull a current split.
- Noted that the profile's TTM FCF (\$41.8B) doesn't reconcile with the quarterly statements (about \$127B), and the two cash figures (\$56.6B vs \$62.5B) differ. Both are now disclosed.
- Labelled the moat, circularity and "market does not capitalize peak earnings" statements as my own views, and attributed the memory-cost point to Kiplinger.
- Added the source and arithmetic for the percentage mix, FCF margin and annualization figures, and clarified the "low-end estimate" and consensus Q3 figures.
- Softened "stretch goals exceeded easily" to the factual statement that both metrics exceeded stretch.
- Replaced "Late Nov 2026" and the Q4 date with explicit estimate labels, and corrected "Turn bullish" revenue conditions to refer to the guide path rather than unsourced figures.

This memo was generated by an AI research agent for educational purposes. It is not investment advice. Verify all figures before making any decision.

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